

Northstar Cloud Systems — Compliance Requirements & Review Rubric

Internal Legal & Compliance Standard | Version 1.0 | Effective January 1, 2026

Purpose and scope

This internal compliance standard defines the minimum requirements that Northstar Cloud Systems, Inc. expects its customer-facing Non-Disclosure Agreements (NDAs), Terms of Service (ToS), and Privacy Policies to satisfy.

The standard is designed as an operational review rubric. A document may contain additional lawful provisions, but it must not contradict these minimum requirements.

1. NDA requirements

Confidential Information

The NDA must define Confidential Information broadly enough to cover business plans, product roadmaps, source code, security information, customer information, pricing, non-public financial information, and information marked or reasonably understood to be confidential.

Permitted use

Confidential Information may be used only for the stated business purpose and may not be used for competitive purposes or disclosed outside the permitted recipient group.

Need-to-know disclosure

Disclosure to employees, contractors, professional advisers, or affiliates is permitted only when they have a legitimate need to know and are bound by confidentiality obligations.

Exclusions

Information is not Confidential Information if it was already lawfully known without restriction, becomes public without breach, is independently developed without use of Confidential Information, or is lawfully received from a third party without a duty of confidentiality.

Compelled disclosure

A recipient may disclose Confidential Information when required by law or valid legal process, subject where legally permitted to giving prompt notice and reasonable cooperation.

Security

The recipient must use reasonable administrative, technical, and physical safeguards to protect Confidential Information against unauthorized access, use, alteration, or disclosure.

Return or deletion

Upon written request or termination of the relevant relationship, the recipient must return or securely delete Confidential Information, subject to legally required retention and routine backup exceptions.

Duration

Confidentiality obligations must survive termination for at least three years. Trade secrets must remain protected for as long as they qualify as trade secrets under applicable law.

No license

Disclosure does not grant intellectual property ownership or a license except the limited right necessary to use Confidential Information for the stated purpose.

Remedies

The NDA may provide equitable relief and other remedies available under applicable law.

2. Terms of Service requirements

Service description

The ToS must clearly describe the service, account responsibilities, acceptable use rules, and material limitations.

Customer content

Customers retain ownership of content they submit. The company may process that content only to provide, secure, maintain, and improve the service as permitted by the ToS and Privacy Policy.

Prohibited use

The ToS must prohibit unlawful use, unauthorized access, malware distribution, abuse of the service, infringement of third-party rights, and attempts to circumvent security controls.

Security and availability

The company should describe security practices at a high level and must not promise uninterrupted or error-free availability unless a separate SLA says so.

Fees and termination

Where paid services exist, billing, cancellation, suspension, and termination rules must be stated clearly.

Privacy alignment

The ToS must state that personal information is handled according to the Privacy Policy and must not grant data-use rights that conflict with that policy.

Intellectual property

The company retains ownership of its software, branding, documentation, and other company materials. Customer ownership of submitted content must be respected.

Liability and disclaimers

Limitations of liability and warranty disclaimers must be clearly stated and must not purport to exclude liability that applicable law does not permit to be excluded.

Changes

Material changes should be communicated through reasonable notice. Continued use after the effective date may constitute acceptance where legally permitted.

3. Privacy Policy requirements

Categories of data

The Privacy Policy must identify categories of personal information collected, such as account information, contact details, usage data, device information, and information voluntarily submitted to the service.

Purposes

It must explain why personal information is collected, including service delivery, security, support, analytics or improvement where applicable, and legal compliance.

Sharing

It must identify relevant categories of recipients, such as service providers, professional advisers, affiliates, or authorities when legally required.

Retention

It must describe retention criteria or periods for major categories of personal information.

Security

It must describe reasonable security measures without promising absolute security.

Rights

It should explain applicable privacy rights and how individuals can submit requests.

Cookies and similar technologies

If used, the policy must describe their purpose and point users to available controls where applicable.

International transfers

If data is transferred internationally, the policy must explain that transfers may occur and describe applicable safeguards at an appropriate level.

Contact

A privacy contact method must be provided.

4. Cross-document consistency rules

Data use consistency

The ToS must not authorize collection, use, disclosure, sale, or retention of personal information in a way that contradicts the Privacy Policy.

Confidentiality consistency

The NDA must not claim ownership of Confidential Information that conflicts with the ToS or Privacy Policy, and the ToS must not waive NDA confidentiality protections.

Retention consistency

If the Privacy Policy states a retention period or deletion approach, other documents must not promise a materially incompatible retention rule for the same data.

Customer content consistency

The ToS must preserve customer ownership of submitted content while granting only the operational rights needed to provide the service.

Legal priority

Where documents conflict, the company should state an explicit order of precedence or otherwise ensure that the documents are drafted consistently.

5. Review outcome rubric

COMPLIANT: No material contradiction with this standard is identified and the required provisions are substantially present.

PARTIALLY_COMPLIANT: The documents generally follow the standard but contain one or more material omissions, ambiguities, or low-risk inconsistencies.

NON_COMPLIANT: A material provision contradicts the standard or another company document, creating a significant compliance or contractual risk.

INSUFFICIENT_EVIDENCE: The provided documents do not contain enough information to make a reliable determination.

Review metadata

Owner: Legal & Compliance Department

Applies to: Customer-facing NDA, Terms of Service, and Privacy Policy

Version: 1.0

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